Final assignment of Digitalization and Innovation

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1. Introduction

Gamestorm is a small Finnish company that distributes board games to shops across Finland and other parts of Europe. In the last five years, its profits have gone down every year. The main reason is that the market around it has changed very quickly. New competitors such as Cuckooburger and David&Goliath Co. now sell both physical and online versions of games. Players are no longer satisfied with traditional games only. They also want digital, connected, and community based experiences.

As an innovation consultant, my role is to understand what is going wrong at Gamestorm. Also, my plan is to design a digital transformation strategy that can help the company recover and grow again. This report will first describe the company's current situation and its challenges. Then it will set transformation goals and explain a simple but realistic strategy to reach them. The report also presents an implementation plan and key metrics to measure success.

My approach is based on ideas from Digitalisation and Innovation literature. "Digitalization and innovation are key drivers of success and competitiveness in today's business landscape." (Verhoef et al., 2021) Digital transformation is not only about technology but about changing the whole business model and culture. I will also use frameworks like SWOT analysis, Porter's Five Forces model and Business Model Canvas to explain how Gamestorm can rebuild its business.

2. Analysis of current situation

Gamestorm has been in the board game business for more than a decade. Its main activity is distributing physical board games to gaming retailers. The company is known for its reliable partnerships with game makers and its ability to deliver games to many European countries. This model worked well because board games were very popular among families and hobby gamers.

However, the gaming industry has changed. Many board game companies now offer digital versions of their products. Games such as Settlers of Catan and Monopoly have become popular again because they can be played online, either through mobile apps or browser. Players can now compete with friends around the world without needing to meet in person. The rise of crowdfunding platforms has also changed how games are developed and sold. Instead of depending on big publishers, fans can now fund their favourite games directly. This gives smaller companies a way to launch creative ideas faster. Also, the age profile of gamers has changed. The majority of players in the digital market are between 12 and 29 years old. The problem is that the most of Gamestorm's employees are over 45. This creates a gap in understanding what younger customers want

and how they interact with games online. To summarize everything shortly, Gamestorm needs to replace its traditional business model with a new digital and community based model.

2.1 SWOT analysis

"The SWOT stands for Strengths, Weaknesses, Opportunities and Threats, and can be analysed as a process, in which the management team identifies the internal and external factors that affect the company and business performances." (Gurl, 2017). Below is a picture that shows a SWOT analysis of Gamestorm company.

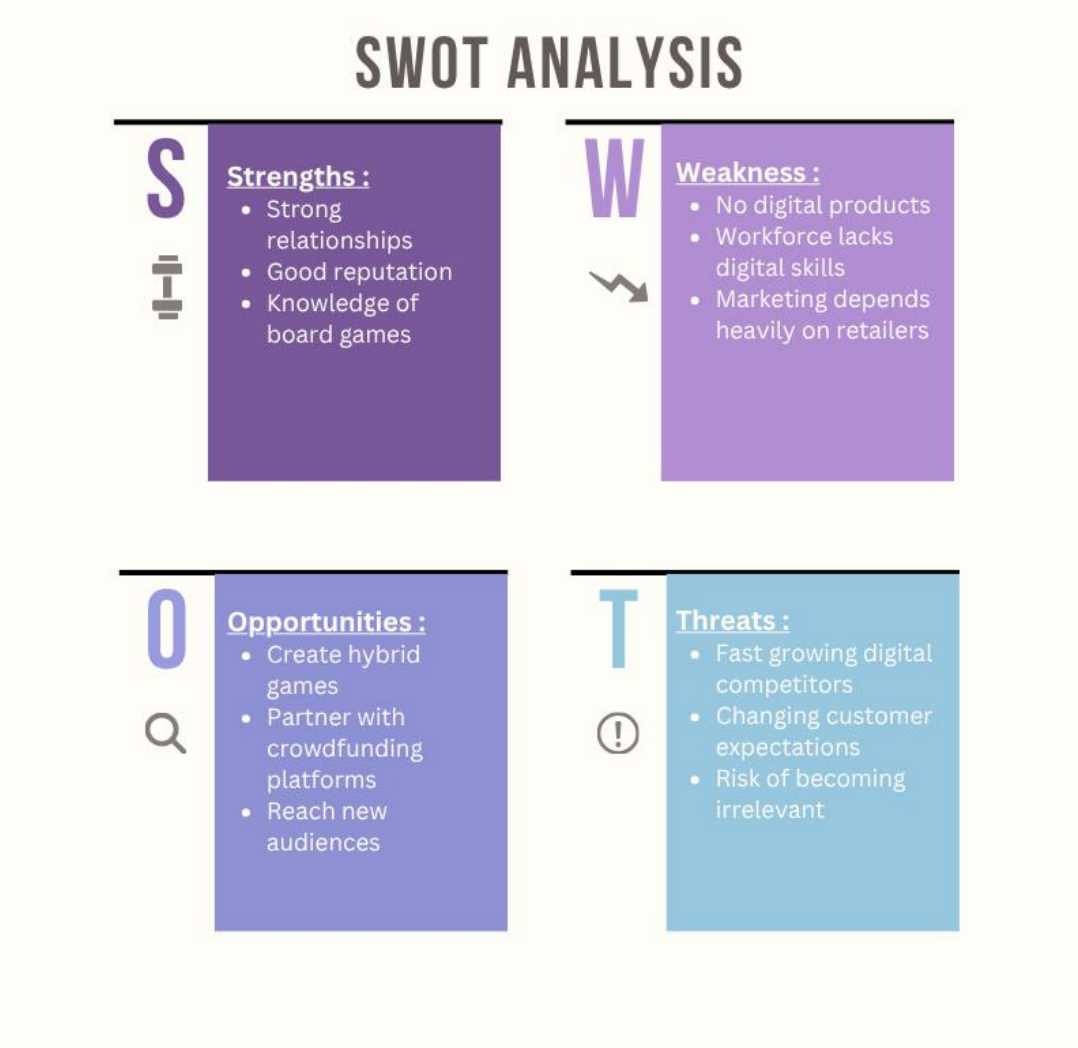

Figure 1: SWOT analysis

From the image above it can be seen the following:

Strengths of Gamestorm include strong relationships with retailers and suppliers, good reputation and long experience in the gaming market, and also knowledge of classic and traditional board games.

Weaknesses are no digital products or online presence, workforce lacks digital skills and younger perspectives and marketing depends heavily on retailers rather than direct customers.

Opportunities show that company can create hybrid games that connect board and online play, partner with crowdfunding platforms and reach new audiences through digital marketing and e-commerce.

Threats could be seen as fast growing digital competitors like Cuckooburger, changing customer expectations for interactive experiences and also risk of becoming irrelevant if no digital strategy is implemented.

This SWOT analysis shows that Gamestorm's main weakness is lack of digital capability, while its biggest opportunity is to use digital tools to expand its products and connect with younger customers.

2.2 Porter's Five Forces analysis

To better understand the market pressure around Gamestorm, we can use Porter's Five Forces model. This framework explains how different competitive forces shape the company's position in the industry. "Porter's five forces framework (rivalry existing competitors, threat of new entrants, power of suppliers and buyers, substitute products and services) is based on the perception that an organizational strategy should encounter the opportunities and threats in the organizations external setting." (Bruijl, 2018)

1. Threat of new entrants – **HIGH**

It is easy for new companies to join the gaming market because digital tools and crowdfunding make it cheap to start. These new players bring creative ideas and often mix digital and physical games, which increases competition for Gamestorm.

2. Threat of substitutes – **VERY HIGH**

Digital and mobile games offer similar fun experiences and are often cheaper or more social. This makes traditional board games less attractive to younger audiences.

3. Bargaining power of customers – **HIGH**

Customers can easily compare prices online and buy directly from digital stores or creators. This gives them more choice and power, forcing Gamestorm to offer better value and modern experiences.

4. Bargaining power of suppliers – **MODERATE**

Gamestorm depends on a few main publishers, but as digital platforms grow, there are more supply options. Developing inhouse digital games could lower supplier power.

5. Competitive rivalry – **VERY HIGH**

Competition is strong, with many companies combining physical and digital gaming. Gamestorm must innovate quickly to keep up and stay relevant.

3. Digital transformation/Innovation goals

Digital transformation usually happens when a company is pushed by strong external forces. In Gamestorm's case, the main drivers are competitors who are using technology to deliver more engaging products. Younger players expect online access, mobile integration, and social features. Also, it should be mentioned that tools like Unity, Unreal Engine and AR/VR allow even small companies to create interactive experiences.

At the same time, Gamestorm faces serious barriers like skill gap where most employees are not trained in digital design or online marketing. Then there is cultural resistance where many staff members fear that digitalization will replace their jobs. Looking at finances, there is not enough budget to invest heavily in new technology. To cover up flaws and to increase business, Gamestorm needs to reduce its cons by building digital skills, improving internal communication, and focusing on innovation. As Kane et al. (2015) suggest, successful transformation depends more on strategy and culture than on technology itself.

Gamestorm's main goal is to become competitive again in a digitalized market. To do this, the company must rethink what it offers, how it operates, and who its customers are. "Digital transformation changes the entire organization and its approach to conducting business." (Verhoef et al., 2021) Strategic goals for Gamestorm company are to attract younger players, build an online platform and develop hybrid products. Develop hybrid products means that they need to combine physical board games with some digital components. To build an online platform describes platform where customers can buy games directly and play or interact digitally. Company can attract younger players by improving online marketing and using social media. To achieve all of that Gamestorm needs to improve employees' digital skills and encourage them to be innovative. As innovation objectives they can use crowdfunding to create new products with players. Another good example of innovation is to experiment with digital only products that use Gamestorm's existing brands. At the end, they can introduce some sort of community app where players can share ideas, organize tournaments, and suggest new games.

4. Digital transformation/Innovation strategy

To achieve goals mentioned in previous chapter, Gamestorm needs a clear strategy that focuses on both digital innovation and internal change. From strategic perspective, Gamestorm should transform from a traditional distributor into a hybrid entertainment company that connects the physical and digital worlds of gaming. The new vision should focus on community and not just products. For better understanding here is a Business Model Canvas (BMC) which shows their business innovation model.

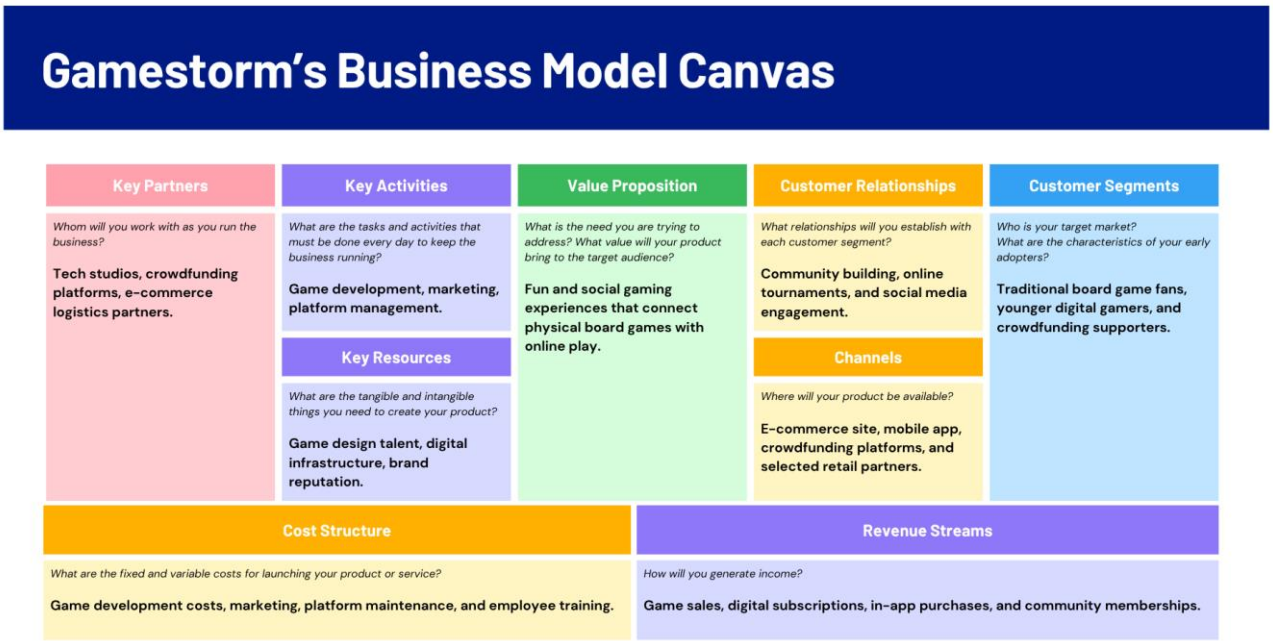

Figure 2: Business Model Canvas

This model allows Gamestorm to create multiple sources of income while keeping connection to its traditional business. It consists of several fields which are key partners, key activities, key resources, value proposition, customer relationships, channels, customer segments, cost structure and revenue streams.

Gamestorm will work with tech studios, crowdfunding platforms, and e-commerce logistics partners to develop and sell its games. Key activities explain that the main tasks for the company are game development, marketing and platform management which keep the business running. Key resources are important assets because they include game design talent, digital infrastructure and brand reputation. Value proposition for Gamestorm offers fun and social gaming experiences that connect physical board games with online play. Moving on to customer relationships which focus on community building, online tournaments and social media engagement to stay close to players. Channels are all about products which will be available through an web site, mobile app, crowdfunding platforms and selected retail partners. Customer segments looks for

customers who are traditional board game fans and younger digital gamers. Cost structure explains that main costs include game development, marketing, platform maintenance, and employee training. And finally, revenue streams says that money will come from game sales, digital subscriptions, in-app purchases and community memberships. Although BMC can be useful to show current business model of company it has some flaws. "The BMC was characterized as 'static' because it does not capture changes in strategy or the evolution of the model" (Sparviero, 2019).

Also, it is important to mention that digital transformation will not work without people's support. Gamestorm should start training programs to help employees learn digital tools, marketing and design. Mixing older and younger employees in teams can also help share knowledge and creativity. Management should communicate clearly that the goal is not to replace jobs but to give the company a future. From technology perspective, Gamestorm should start small with affordable technologies. A simple web site and mobile app could be built using existing low code platforms. To make the digital transformation successful, Gamestorm needs a clear and realistic plan. I believe the change should happen in steps and not all at once. My roadmap is divided into three main phases, which are short term (first 6 months), mid term (18 months) and long term (3 years) actions.

a) <u>Short term actions (0–6 months):</u>

The first step is to prepare the company for digital change. Gamestorm should start by building awareness among employees about why digital transformation is necessary. Short workshops or training sessions can help older team members understand digital tools and online platforms. At the same time, management should create a small digital team that includes experienced staff and younger employees. This team can start researching online gaming trends and identify which of Gamestorm's popular board games could be turned into digital or hybrid versions. I think this phase is mostly about learning and building confidence.

b) <u>Mid term actions (6–18 months):</u>

In this phase, Gamestorm should begin developing its first digital product. The company can select one of its best selling board games and create a digital version, maybe as a simple app or an online multiplayer version. Crowdfunding can be used to attract early supporters and test the idea with the gaming community. This period should also include some sort of self promotion such as a new website, social media activity and online store. These steps will help Gamestorm connect directly with players instead of depending only on retailers.

c) <u>Long term actions (18–36 months):</u>

After the first digital game is launched, Gamestorm should expand further. The company could develop more hybrid or mobile games and explore partnerships with influencers or streaming platforms. It's also important to keep improving employee digital skills through training. Over time, Gamestorm should measure progress using key

metrics like online sales and community engagement. I believe that by continuously learning and adjusting, Gamestorm can become a competitive gaming brand.

Shortly, the success of this roadmap depends on people and not just technology. Change must start with a shared vision and an open mindset. If Gamestorm follows this plan step by step, it can move from being a traditional distributor to an innovative, company.

5. Metrics

To better understand the work of digital transformation, Gamestorm would need to provide a simple way to measure progress. Metrics will help the company to see what is going well and what needs improvement. From my point of view, these measures should focus on innovation and customer engagement and not only money. I am going to list four different metrics which are financial, customer, innovation and operational.

Financial metrics – Profit is the most obvious measure. Gamestorm should track total revenue and compare digital products with traditional board games. If digital transformation is bringing profit online sales and crowdfunding income will show growth.

Customer metrics - Gamestorm should measure the number of new customers, especially younger players. By tracking online visitors, followers and engagement the company will be able to make sure they reach the right audience. Furthermore, product reviews, surveys and feedback will also help understand how players feel about the game.

Innovation metrics – Innovation is also a very important asset in game industry and should also be measured. In my opinion, Gamestorm should count how many new projects or products are developed every year. Another good measure is the number of employees involved in digital training or innovation workshops. This shows how much the organization is improving from the inside.

Operational metrics - These include delivery speed, project timelines and internal progress. In other words it means tracking how long it takes to develop a new digital game or update the website. Smoother and faster processes will mean that the company is becoming more agile and adaptable to changes.

To summarize, I think metrics should be used as a learning tool because they help the company understand what works best and also helps improve overall decision making. Regular reviews every three to six months would keep track of digital transformation.

6. Conclusion

In conclusion, Gamestorm's situation shows how fast the gaming world is changing. Even though the company has loyal partners a good history, it still needs to move beyond traditional business if it wants to improve and survive in new age society. Furthermore, Gamestorm has a chance to connect with new generations through digital transformation and explore creative ideas. Personally, I think that success depends more on people than on technology and employees should feel motivated and supported to learn new skills and improve. Management should lead with a clear vision and communicate the benefits of change. The company can make digital transformation simple and successful by following the roadmap plan step by step.

Overall, Gamestorm's future can be saved if it combines its strengths such as experience and product knowledge with innovation. The main point of digital tools should be to make company stronger and closer to its customers. I believe that with the consistent effort and right mindset Gamestorm can successfully move from a traditional to a creative digital game brand.

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Note about AI: AI tools have been used for finding references and grammar corrections